

Business Requirements Document

Customer Loyalty & Rewards Platform

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Table of Contents

1. Document Control & Revision History
2. Executive Summary
3. Business Objectives
4. Project Scope
5. Stakeholders
6. Current State (As-Is) Analysis
7. Future State (To-Be) Vision
8. Business Requirements
9. Functional Requirements
10. Non-Functional Requirements
11. Assumptions, Constraints & Dependencies
12. Risks & Mitigation
13. Success Metrics (KPIs)
14. Timeline & Milestones
15. Budget Overview
16. Approval & Sign-off

1. Document Control & Revision History

This section tracks changes to this Business Requirements Document (BRD) over its lifecycle. Any modification to scope, requirements, or assumptions must be logged here with an updated version number.

Version	Date	Author	Description of Change
0.1	May 10, 2026	B. Analyst	Initial draft created
0.5	May 28, 2026	B. Analyst	Added functional requirements section
0.8	June 12, 2026	Project Sponsor	Scope revised after stakeholder workshop
1.0	June 30, 2026	B. Analyst	Finalized for review and sign-off

Distribution List

- VP of Customer Experience
- Director of Marketing
- Head of Engineering
- Finance Controller
- Data Privacy Officer
- Customer Support Manager

2. Executive Summary

The organization currently lacks a unified loyalty and rewards program capable of consolidating customer engagement across web, mobile, and in-store channels. Existing point-tracking mechanisms are fragmented across three legacy systems, leading to inconsistent customer experiences, manual reconciliation effort, and limited visibility into customer lifetime value.

This Business Requirements Document defines the business need, scope, and detailed requirements for a new Customer Loyalty & Rewards Platform ("the Platform") that will replace existing systems with a single, scalable solution. The Platform will enable real-time point accrual and redemption, tiered membership benefits, personalized offers, and integration with the existing CRM and e-commerce systems.

The initiative is sponsored by the Customer Experience division and is expected to deliver measurable improvements in customer retention, average order value, and program enrollment within twelve months of launch. This document is intended for review and approval by key business and technical stakeholders prior to the commencement of solution design.

3. Business Objectives

The Platform is expected to support the following strategic business objectives, each of which ties directly to broader company goals around customer retention and digital engagement.

#	Objective	Business Driver
BO-1	Unify loyalty data across all customer touchpoints	Fragmented legacy systems
BO-2	Increase repeat purchase rate by 15% within 12 months	Declining retention metrics
BO-3	Reduce manual point reconciliation effort by 80%	High operational overhead
BO-4	Enable personalized, tier-based rewards	Competitive differentiation
BO-5	Provide real-time loyalty analytics to marketing	Limited current visibility

4. Project Scope

4.1 In Scope

- Design and implementation of a centralized loyalty points engine (accrual and redemption rules)
- Tiered membership structure (Bronze, Silver, Gold, Platinum) with configurable benefit rules
- Integration with existing CRM, e-commerce platform, and point-of-sale (POS) systems
- Customer-facing loyalty dashboard within the web and mobile applications
- Administrative console for marketing teams to configure campaigns and promotions
- Migration of historical loyalty data from the three legacy systems
- Reporting and analytics module for loyalty program performance

4.2 Out of Scope

- Co-branded credit card program integration (planned for a future phase)
- Loyalty partnerships with third-party external merchants
- Redesign of the core e-commerce checkout experience
- International currency conversion for cross-border loyalty redemption

5. Stakeholders

The following individuals and groups have been identified as key stakeholders for this initiative, each with distinct interests and responsibilities throughout the project lifecycle.

Role	Responsibility	Involvement
Project Sponsor	Overall accountability and funding approval	High
VP, Customer Experience	Business owner; defines program rules	High
Director of Marketing	Campaign configuration and promotions strategy	High
Head of Engineering	Technical feasibility and architecture	High
Data Privacy Officer	Compliance with data protection regulations	Medium
Customer Support Manager	Operational readiness and training	Medium
Finance Controller	Budget tracking and ROI validation	Medium
End Customers	Primary users of loyalty features	Indirect

6. Current State (As-Is) Analysis

The organization currently operates three disconnected loyalty mechanisms: an in-store punch-card style system managed at the POS level, a web-based points system tied to the e-commerce platform, and a manual spreadsheet-based process used by the call center to issue goodwill credits.

This fragmentation creates several pain points. Customers are unable to view a consolidated balance across channels. Marketing teams cannot segment customers based on a unified lifetime value score. Finance is unable to accurately forecast the loyalty liability on the balance sheet due to inconsistent point valuation across systems. Additionally, customer support agents report an average of 45 minutes per week per agent spent manually reconciling point discrepancies.

Key Pain Points Summary

Pain Point	Impact
No unified customer view	Poor personalization, lost upsell opportunities
Manual reconciliation	High operational cost, error-prone
Inconsistent point valuation	Inaccurate financial liability reporting
No real-time redemption	Customer frustration, abandoned redemptions

7. Future State (To-Be) Vision

In the future state, customers will enroll once and have their loyalty status and points balance reflected consistently across web, mobile, and in-store channels in real time. A single source of truth for loyalty data will allow marketing to build targeted campaigns based on tier, spend behavior, and engagement history.

Customers will be able to track progress toward the next membership tier, view personalized reward recommendations, and redeem points instantly at checkout or in-store without delay. Internally, finance will have access to a real-time dashboard reflecting outstanding point liability, and customer support will be able to resolve loyalty-related inquiries within a single console rather than three.

The architecture will be built on a scalable, API-first foundation, allowing future expansion into co-branded partnerships and additional redemption channels without significant rework.

8. Business Requirements

Business requirements describe the high-level capabilities the Platform must deliver to satisfy the objectives outlined in Section 3. Each is assigned a unique identifier for traceability.

ID	Requirement	Priority
BR-01	Consolidate loyalty data from all legacy systems into one platform	Must Have
BR-02	Support configurable, rules-based point accrual and expiration	Must Have
BR-03	Support a minimum of four membership tiers with distinct benefits	Must Have
BR-04	Enable real-time point redemption at checkout and in-store POS	Must Have
BR-05	Provide self-service customer dashboard for points and rewards	Must Have
BR-06	Provide marketing campaign configuration without engineering support	Should Have
BR-07	Support referral-based bonus point awards	Should Have
BR-08	Provide exportable reporting for finance and marketing teams	Must Have
BR-09	Support customer notifications for tier changes and expiring points	Should Have
BR-10	Allow customer support agents to manually adjust point balances with audit trail	Must Have

9. Functional Requirements

9.1 Enrollment & Account Management

- Customers shall be able to enroll in the loyalty program via web, mobile app, or in-store at the point of sale.
- The system shall prevent duplicate enrollments using email and phone number validation.
- Customers shall be able to link multiple purchase channels to a single loyalty account.

9.2 Points Accrual & Redemption

- The system shall calculate points earned based on configurable rules (e.g., 1 point per \$1 spent).
- Points shall be visible in the customer account within 5 minutes of transaction completion.
- Customers shall be able to redeem points for discounts, free products, or experiential rewards.
- The system shall support partial point redemption combined with other payment methods.

9.3 Tier Management

- The system shall automatically upgrade or downgrade customer tier status based on rolling 12-month spend.
- Customers shall receive a notification when they move between tiers.
- Each tier shall support a distinct set of configurable benefits managed by marketing administrators.

9.4 Administration & Reporting

- Marketing administrators shall be able to create and schedule promotional point campaigns.
- The system shall provide dashboards showing enrollment trends, redemption rates, and point liability.
- All manual point adjustments shall be logged with user ID, timestamp, and reason code.

10. Non-Functional Requirements

Category	Requirement
Performance	Point balance updates must reflect within 5 minutes of transaction; dashboard load time under 2 seconds
Scalability	System must support up to 5 million active loyalty members with peak concurrent load during promotional periods
Availability	99.9% uptime for customer-facing services, excluding planned maintenance windows
Security	All customer data encrypted at rest and in transit; role-based access control for admin console
Compliance	Must comply with applicable data protection regulations (e.g., GDPR, CCPA) for customer data handling
Usability	Customer dashboard must be accessible (WCAG 2.1 AA) and responsive across mobile and desktop devices
Auditability	All point transactions and manual adjustments must be retained for a minimum of 7 years

11. Assumptions, Constraints & Dependencies

11.1 Assumptions

- Legacy system vendors will provide data export access for migration purposes.
- Existing CRM and POS systems expose APIs suitable for real-time integration.
- Marketing team will be available for workshops during the requirements refinement phase.

11.2 Constraints

- The project must launch before the start of the next holiday shopping season.
- Budget is capped at the amount approved in the Q3 capital expenditure plan.
- Legacy POS hardware cannot be replaced as part of this initiative.

11.3 Dependencies

- Completion of the CRM data model upgrade currently in progress under a separate initiative.
- Availability of the integration team for POS middleware connectivity.
- Legal and compliance sign-off on the updated loyalty program terms and conditions.

12. Risks & Mitigation

Risk	Likelihood	Impact	Mitigation
Legacy data quality issues delay migration	Medium	High	Conduct early data audit and cleansing sprint
POS integration complexity exceeds estimate	Medium	High	Engage vendor early; build proof-of-concept
Customer adoption slower than projected	Low	Medium	Launch incentive campaign at rollout
Scope creep from additional channel requests	Medium	Medium	Enforce change control process
Regulatory requirements change mid-project	Low	High	Maintain ongoing legal review checkpoint

13. Success Metrics (KPIs)

The success of the Platform will be measured against the following key performance indicators, tracked quarterly post-launch for a period of 18 months.

KPI	Baseline	Target (12 months post-launch)
Loyalty program enrollment rate	32%	50%
Repeat purchase rate	21%	36%
Average order value (loyalty members)	\$58	\$68
Manual reconciliation hours per month	180 hrs	< 35 hrs
Customer satisfaction (loyalty experience)	3.4 / 5	4.3 / 5

14. Timeline & Milestones

Phase	Milestone	Target Date
Discovery	BRD sign-off	July 2026
Design	Solution architecture & UX design approved	August 2026
Build	Core points engine development complete	October 2026
Build	POS and CRM integration complete	November 2026
Migration	Legacy data migration complete	November 2026
Testing	UAT sign-off	December 2026
Launch	Phased rollout begins	January 2027
Stabilization	Full rollout complete; hypercare ends	March 2027

15. Budget Overview

The table below provides a high-level, indicative budget breakdown for the initiative. Final costs are subject to vendor quotes obtained during the design phase.

Category	Estimated Cost
Platform licensing / software	\$210,000
Integration & development effort	\$340,000
Data migration	\$65,000
Testing & QA	\$50,000
Training & change management	\$35,000
Contingency (10%)	\$70,000
Total Estimated Budget	\$770,000

16. Approval & Sign-off

By signing below, stakeholders confirm that they have reviewed this Business Requirements Document and agree that it accurately reflects the business needs and scope for the Customer Loyalty & Rewards Platform initiative.

Name	Role	Signature	Date
	Project Sponsor		
	VP, Customer Experience		
	Head of Engineering		
	Finance Controller		